Aventario



COST & VALUE OPTIMIZATION FOR IT AND SUPPLY CHAIN

# Operative IT Vendor Management

*An operating model for vendor management, and a 12-month path to build it.*

Most organisations lose 11% of contract value after signature. For an enterprise with $500M in annual contracted spend, that is up to $55M every year. The cause is not bad negotiation. It is the absence of an operating model for the work that begins the day the contract is signed.

**11%**
of contract value lost after signature (WorldCC 2024)

**7**
core capabilities define a working operating model

**12 months**
from assessment to embedded capability

**Aventario · Vienna**
Tuchlauben 7a · 1010 Vienna
office@aventario.com · aventario.com

EDITION 2026.1

EXECUTIVE SUMMARY

# The case for an operating model

Most organisations lose 11% of contract value after signature[5]. For an enterprise with $500M in annual contracted spend, that is up to $55M per year. The value does not leave through bad negotiation. It leaves through unvalidated invoices, scope creep, missed renewal triggers, and post-signature contract amendments that nobody tracks. What is missing is an operating model for the work that begins the day the contract is signed.

This paper sets out what that operating model looks like: a governance framework, seven core capabilities, and a 12-month path to build it. The savings, the predictability, the strategic optionality are not negotiated outcomes. They are released by structure: ownership, data, and rhythm.

The capability gap that produces this leakage is structural, not size-dependent. Mid-market firms can run mature vendor management; global enterprises can run brittle vendor management. The separator is whether an operating model exists for what happens after the contract is signed.

If you read this through, you will know where your own operating model sits, what to build, and how to start. The Aventario VM-Assessment, free and under 10 minutes, is step one.

SECTION 01

# Why operative vendor management matters now

Three forces have driven IT into deeper vendor dependency over the last decade. A fourth dynamic, the absence of governance designed for that depth, turns the dependency into measurable loss. The risks below are the result of running today's vendor portfolio on yesterday's operating model.

## 1.1 Vendor dependency has grown

Cloud and as-a-service economics moved core infrastructure into other companies' data centres. Specialisation pressure and talent constraints made it impractical to staff every capability in-house. Scaling speed and transformation pressure forced fast decisions on tooling and partners, often before governance was in place. The technology stack itself has become more complex, with deep interdependencies across tools, platforms, and providers: a single business process now touches multiple vendor systems that have to integrate cleanly to deliver the outcome.

The result is visible in any IT inventory. An enterprise above 1,000 employees runs around 473 SaaS applications on average, per the Zylo 2025 SaaS Management Index[3]. The same enterprise typically has more strategic and operational vendors than it can name without a system to ask. AI and open-source tooling have accelerated this pattern further, adding new vendors and new dependencies to portfolios that have already passed the point where informal coordination works.

## 1.2 The IT organisation's role has shifted

The same period has changed what an IT function does. The organisation has moved from running its own systems to integrating systems run by others. The management work has shifted in three concrete ways.

From signing contracts to running them: the negotiation closes a window; everything after it determines whether the value lands. From relationship management to performance management: knowing the account manager is not the same as knowing the SLA hit-rate. From individual vendors to end-to-end accountability: a service the customer experiences is rarely delivered by one supplier, and ownership has to span the chain.

## 1.3 The risks of leaving this unmanaged

Four risk categories show up consistently in organisations whose vendor portfolio has grown faster than their governance.

> **Performance risk.** Service quality degrades silently. Without measured SLAs and internal validation, problems surface only when a senior stakeholder complains. By then the trend is months old.

> **Financial risk.** This is the most quantified of the four. WorldCC research has identified an average 9.2% post-award contract value erosion across more than a decade of studies[10]. The leakage is not headline negotiation losses. It is the slow accumulation of unvalidated invoices, scope creep, missed renewals, and contract amendments that nobody tracks.

> **Accountability risk.** When ownership is shared, ownership is absent. Decisions are made informally, escalations route to whoever picks up the phone, and a service problem becomes a finger-pointing exercise across IT, procurement, and the business unit. Shadow IT thrives in this gap, because someone has to solve the immediate problem and the official process does not have an answer fast enough.

> **Strategic risk.** Vendor dependency, left unmanaged, becomes vendor lock-in. Concentration that nobody mapped, contracts that nobody can find, switching costs that nobody priced. The strategic conversation that should happen at the renewal point happens nine months too late, after the supplier has already reset the commercial terms.

These four risks are not theoretical. They surface, predictably, as six operational challenges that look the same across almost every organisation we work with.

SECTION 02

# Common challenges in vendor management

Every vendor portfolio is different. The operational challenges are not.

**Lacking performance transparency.** 57% of sourcing executives rank performance measurement as a top challenge in supplier engagement[13]. SLAs exist on paper. Vendors self-report their own performance. The internal team has no independent view. By the time a pattern is visible, three quarterly review cycles have passed.

**Lacking centralised governance.** 71% of organisations cannot find at least 10% of their active contracts[4]. There may be a vendor list. There is rarely an operating model around it, and the steering function has no owner.

**Minimal financial control.** This is where the 11% leakage lives. The cause is not malicious billing. It is unstructured validation: invoices accepted because someone signed off, T&M billing accepted because the SAP entry matches a PO, scope creep accepted because the alternative is a renegotiation nobody has time for.

**Uncontrolled change and demand.** New demand enters through whatever door is open. Project managers add scope at the working level. Operational teams agree to additional services in service reviews. The change goes through a Change Request, but the effort estimate comes from the same vendor who will deliver the change, and the validation never happens.

**Ad-hoc vendor coordination.** 60% of sourcing executives cite poor visibility between finance, procurement, and suppliers as a major operational risk[13]. Each function talks to the vendor separately. Each gets a different version of the truth. The organisation never speaks with one voice, and the supplier learns which function to call when it wants which answer.

> **Meetings instead of fixed reporting rhythms.** 72% of meetings are rated ineffective; 80% of workers want fewer of them[14]. The operating model defaults to meetings because the reporting cadence is broken. When the dashboard is fresh, the meeting is short and exception-driven. When the dashboard is stale, the meeting becomes the report, and three hours a week disappear.

Each challenge has a structural cause and a structural fix. None is solved by hiring better account managers or escalating more aggressively. They are solved by an operating model.

SECTION 03

# The Target Operating Model

The TOM is the answer to the six challenges. It has two parts: a governance framework that defines who decides what, and a set of seven core capabilities that defines what the organisation actually does.

## 3.1 Governance framework

A working framework rests on four design choices.

### Three governance layers, separated by purpose

Operational handles SLA validation, ticket trends, and day-to-day issues. Service handles the commercial relationship, change requests, and quarterly performance reviews. Strategic handles vendor strategy, renewals, and portfolio decisions. Each layer has its own cadence and its own attendees, and the work moves up the layers only when the layer below cannot resolve it.

### Fixed meeting rhythms

Defined purpose, defined goals, defined participants. A meeting without a defined purpose becomes a status update. Defined rhythms force the work to happen before the meeting, not in it.

### Standardised decision-making and escalation paths

Who decides at what budget threshold. Who signs off on what change. Who escalates to whom and on what trigger. Written down, not understood informally.

### Cross-functional alignment

Procurement sees the commercial picture. IT sees the operational picture. Finance sees the run-rate. The business sees the outcome. Each alone produces blind spots. The framework connects them.

## 3.2 Core capabilities

Seven capabilities sit under the governance framework. Each has the same shape: a measurable outcome, three to four key measures, one watch-out. The capabilities are not optional; each fills a gap visible in Section 2.

## Performance Management and KPI Frameworks

***Outcome:*** Top-quartile procurement organisations lose 60% less of their savings to non-compliance than their peers[6].

***Measures:*** SLAs aligned with business needs, not with what the vendor finds easy to report; a clear monthly validation process owned by internal operational people, not the supplier; knowledge-transfer to those operational people so they understand why their accurate, timely validation matters; monthly service review meetings that cover operational issues and successes both, not only breaches; trend analysis with early-warning indicators on recurring patterns; formal root-cause analysis and reporting for recurring incidents; clear enforcement balancing penalties and incentives, because KPIs that only punish do not motivate. The supplier's A-team is contractually agreed at signing, and the contract is the place to keep them.

Watch-out: *if the operational team treats SLA validation as paperwork, the framework is worth less than the document it lives in.*

## Financial Management

***Outcome:*** Organisations recover 2–3% of spend in year one and 5–10% over three years through structured post-signature contract management[5].

***Measures:*** Systematic invoice validation against the contract and actual deliverables, not against the PO alone; clear linkage between services consumed and costs incurred, so volume drift becomes visible; active tracking of cost drivers (volumes, demand, changes) to anticipate cost increases; active governance of effort-based billing (T&M, tickets, change requests) with named validation responsibilities; budget tracking and forecasting that anticipates cost drivers rather than reports them after the fact; named approval processes for additional costs and contract changes; explicit deadlines from contract to PO to invoice to avoid late-payment penalties.

Watch-out: *the savings rarely show up as a single line item. They appear as a smaller variance against budget over a longer time horizon.*

## Demand and Change Management

***Outcome:*** Top-quartile procurement runs a 58% shorter req-to-PO cycle than its peers[6].

***Measures:*** Formal prioritisation for new demand; standardised change request flow with named approval gates; effort estimation validated by someone other than the delivering vendor; impact tracking that captures the second-order cost and complexity of every change, not just the first-order quote; CAB-style structured governance that prevents scope from increasing without a record.

Watch-out: *most change governance fails on the validation step. If the only person who can challenge the effort estimate is the vendor who will book the time, the process is theatre.*

### Escalation Management

***Outcome:*** Issues close on the first cycle instead of re-emerging on the second.

***Measures:*** Defined escalation levels with named individuals at each level, not roles; explicit triggers for moving an issue up a level; standardised workflows that look the same across vendors; tracking and closure so that escalated issues are actually resolved, not just transferred.

Watch-out: *informal relationships are the most common substitute for escalation management. They work until the person leaves the role.*

### Reporting

***Outcome:*** The reporting cycle becomes a control loop. Trends and deviations are visible before they become incidents, and the meeting cadence is exception-driven instead of status-driven.

***Measures:*** Standardised reports across all services and vendors, so performance is comparable rather than vendor-specific; integrated dashboards that combine performance, financial, and risk signals in one view; internal validation built into the reporting cycle, so reports are not vendor self-assessment; focus on trends and deviations from baseline, not on point-in-time metrics; global standardisation so that regional VMOs share a single reporting language.

Watch-out: *reporting that depends on the vendor producing the report on time tends to fail at the moment it is most needed.*

### Roles and Responsibilities

***Outcome:*** 70% of executives report their VMO is not fully mature, and only 20% say it owns extended-workforce strategy[9]. Top-quartile procurement runs with 31% fewer FTEs[6]. The difference is named ownership.

***Measures:*** Named owners for each service and each strategic vendor, not roles; separated operational, commercial, and strategic responsibilities, because the skill profiles are different; clear RACI for every recurring process; defined interfaces between IT, procurement, and finance, so handoffs do not fall on the floor.

Watch-out: *shared ownership is the same as no ownership.*

### Tools

***Outcome:*** Top-quartile procurement organisations achieve 2.6× the ROI of their peers through digital-first operations[6].

***Measures:*** Vendor management tooling that provides a single source of truth (managedsuppliers, ITSM integration, performance dashboards); automated SLA reporting from the ITSM system, which removes the manual validation step that breaks most reporting in practice; visualisation that makes issues accessible to operational owners and reportable to upper management without rework.

Watch-out: *tooling cannot fix an operating model that does not exist. Build the operating model first; the tool serves it, not the other way round.*

The TOM is a system. It works when all seven capabilities exist and reinforce each other. It falls apart when one is missing. Performance Management without Financial Management produces clean SLA reports next to drifting costs. Roles and Responsibilities without Reporting produces clear accountability for invisible data. The capabilities are designed to be built together, in sequence.

SECTION 04

# Implementation roadmap

A 12-month path. Four phases, sequential, each with named success factors and a named output.

PHASE 1

## Assessment

weeks 1–4

A fit-gap analysis against the seven capabilities. Maturity diagnosis using a structured five-level framework. Assessment of current governance structures. Mapping of roles and responsibilities across IT, procurement, finance, and the business. Review of existing contracts and SLA / KPI frameworks. Evaluation of performance transparency. Analysis of invoice validation and cost control mechanisms. Identification of demand and change governance gaps. Documentation of key pain points in the current setup.

**Output:** *a documented current-state assessment with prioritised pain points and a measurable maturity baseline.*

PHASE 2

## Design

weeks 4–10

Based on the identified gaps, design the governance framework that fits the organisation. Define the roles and the core processes. Align the TOM with the existing tool landscape rather than introducing parallel systems.

**Output:** *a signed-off operating model document with named owners, defined cadences, and a transition plan.*

PHASE 3

## Build and pilot

weeks 10–26

Establish the governance framework with active change and communication for affected stakeholders. Assign the roles. Roll out the SLA framework and reporting dashboards. Align the vendors to the new governance. Hold KT sessions for internal operational stakeholders and vendor teams. Integrate the TOM into the existing tool landscape. Pilot the model on a strategic vendor or service before scaling.

**Output:** *a working operating model in production for one vendor, with measured baseline-to-pilot improvement.*

PHASE 4

## Scale and embed

weeks 26–52

Roll the model out across the portfolio. Establish regular reviews of the governance framework. Continuous performance tracking. Vendor benchmarking. An improvement backlog with tracked follow-through.

**Output (week 52):** *a vendor management capability the organisation runs, not one that runs the organisation.*

## WHERE TO START THIS WEEK

**Want to start today? Find out where you stand.** The Aventario VM-Assessment is free, takes under 10 minutes, gives your maturity level immediately, and delivers a personalised PDF report within 48 hours. form.typeform.com/to/DEYGPnxW

---

*Wollt ihr heute noch starten? Findet raus wo ihr steht. Das Aventario VM-Assessment ist kostenlos, dauert unter 10 Minuten, gibt euer Reifegradlevel sofort und liefert einen persönlichen PDF-Bericht innerhalb von 48 Stunden.*

SECTION 05

# Conclusion

Operative vendor management is not a strategic conversation. It is an operating capability, built from a governance framework and seven specific capabilities, in twelve months. The savings, the predictability, and the strategic optionality that organisations want from their vendor portfolios are produced by the structure underneath the contracts, not by the contracts themselves.

There is no version of this work that delivers in six weeks. There is no version that needs five years. Twelve months produces a piloted operating model and an embedded capability, in that order.

Aventario builds these operating models for a living. We own the result, from strategy to execution to lasting capability. 25+ years of industry experience, 500+ projects delivered, €3 billion+ in negotiated contract volume. We implement, we do not just advise.

The starting point is knowing where your operating model sits today. Run the assessment.

### About Aventario

Aventario is a Vienna-based consultancy specialising in cost and value optimisation for IT and supply chain. We work with CIOs, CPOs, and procurement leaders at multinational enterprises and mid-market organisations across Europe and worldwide. Engagements are outcome-based: we own the result, from strategy to execution to lasting capability. 25+ years of industry experience. 500+ successful projects delivered. €3 billion+ in negotiated contract volume. 10–40% measurable cost savings for clients.

**Tuchlauben 7a · 1010 Vienna** · office@aventario.com · www.aventario.com

SOURCES

# Primary references


1. **[3] Zylo**, *2025 SaaS Management Index*. zylo.com/reports/2025-saas-management-index/
2. **[4] WorldCC**, *Contract Value Leakage: How Do You Compare?* worldcc.com/Resources/Content-Hub/details/Contract-Value-Leakage-How-Do-You-Compare-
3. **[5] WorldCC and Ironclad** (2024), *Closing the Procurement Value Gap*. Reported figure: organisations lose an average 11% of contract value after signature; recovery potential 2–3% in year one, 5–10% over three years. news.marketersmedia.com/worldcc-and-ironclad-report-reveals-organizations-lose-an-average-11percent
4. **[6] The Hackett Group**, *Digital World Class® Procurement Teams Achieve 2.6× Higher ROI*. thehackettgroup.com/the-hackett-group-digital-world-class-procurement-teams-achieve-2-6x-higher-roi/
5. **[9] Deloitte**, *Global Outsourcing Survey 2024*. deloitte.com/global/en/issues/work/global-outsourcing-survey.html
6. **[10] WorldCC**, *Ten Pitfalls to Avoid in Contracting / Stopping the Leak*. worldcc.com/Resources/Content-Hub/details/Ten-Pitfalls-to-Avoid-in-Contracting
7. **[13] Gartner / Dragon Sourcing**, *Supplier Performance Measurement Challenges*. dragonsourcing.com/supplier-performance-measurement-challenges/
8. **[14] Atlassian / Flowtrace / Microsoft Work Trend Index**, *Workplace Meeting Statistics*. atlassian.com/blog/workplace-woes-meetings